

Please meet and confer regarding retention of a single court reporter between the parties for each day of trial. The court reporter must be available during jury deliberations for read-back or have prepared a final transcript. An order appointing the reporter pro tem shall be submitted in advance to ensure the reporter is available and qualified. The court will not continue the case due to the absence of a reporter.

Parties shall make arrangements with the courtroom clerk to pre-mark exhibits and to lodge all originals of transcripts prior to trial.

Please reduce all stipulations to writing. The stipulations will be marked as a court exhibit and deemed admitted. Parties to notify the court when they wish the court to read the stipulation to the jury.

The first day of trial is calendared for July 23, 2026. The court is currently in jury trial which is anticipated to be completed on July 31. This trial will trail.

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**CARMONA v. A & V CAJUN, et al.**  
**Case No. CU25-03833**

Motion by Defendant A & V CAJUN to Compel Arbitration (including Joinder by Other Defendants) and to Dismiss Class Action Claims

**TENTATIVE RULING**

Defendant's motion to compel arbitration of individual claims is GRANTED. Plaintiff's representative PAGA claim is stayed pending completion of arbitration. The court exercises its discretion to dismiss the proposed class action as Plaintiff is no longer a suitable representative.

**California Law, Federal Arbitration Act and Interstate Commerce**

Absent the employment relationship being governed by a collective bargaining agreement, California law exempts from arbitration claims for due and unpaid wages. Labor Code §229. However, California law is preempted by the Federal Arbitration Act ("FAA") when the contract at issue evidences a transaction involving interstate commerce. (9 U.S.C. §2; *Perry v. Thomas* (1987) 482 U.S. 483, 490-491.) 9 U.S.C. §2, is to be read broadly, to apply to any contracts involving or affecting interstate commerce, "even if the parties did not contemplate an interstate commerce connection". (*Allied-Bruce Terminix Cos. v. Dobson* (1995) 513 U.S. 265, 275-277, 281.)

The burden of proof falls on the party seeking to enforce the arbitration agreement to show that it involves interstate commerce. (*Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4<sup>th</sup> 676, 687-688 ["a petitioner seeking an order to compel arbitration must show that the subject matter of the agreement involves interstate commerce"]). Notably, the arbitration agreement does not expressly invoke the FAA.

The transporting of a non-trivial amount of goods across state lines is enough to establish interstate commerce. (*Shepard v. Edward Mackay Enterprises, Inc.* (2007) 148 Cal.App.4th 1092, 1101. A reasonable inference is that restaurant located within one state is involved in interstate commerce, as it often attracts patrons who reside in other states, or uses goods or equipment shipped from other states. (*Katzenbach v. McClung* (1964) 379 U.S. 294; *Johnson v. Carter* (M.D.Alabama 2011) 2011 U.S.Dist.LEXIS 153127.

Moving party's owner filed a declaration stating that the restaurant "serves thousands of families, many of which are out of state residents"; "also promotes influencers from out of state to come in and dine at its establishment"; and "purchases all necessary appliances from an out-of-state distributor to ensure its seafood is prepared to the highest standard."

The court finds this more than sufficient to satisfy the low burden of showing sufficient interstate commerce. Accordingly, Labor Code §229 is preempted.

### **Unconscionability of Agreement to Arbitrate**

In opposition to the motion, Plaintiff also argued the arbitration agreement was unconscionable and should not be enforced.

Unconscionability is a concept which allows the court to refuse to enforce an agreement or certain terms within an agreement if enforcement would be significantly unfair. (Civil Code §1670.5.) Unconscionability is made up of two aspects: procedural unconscionability, and substantive unconscionability, both of which had to be present to some extent. The less one of those aspects is present, the more the other must exist, to justify a finding of unconscionability. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125-126.)

Procedural unconscionability focuses on surprise or oppression, usually due to unequal bargaining power. In the employment context, arbitration agreements are typically adhesive, preprinted by the employer and offered on a take it or leave it basis, with no opportunity provided to negotiate different terms. (*Id.* at 126.)

The circumstances of the signing also can weigh in favor of finding a greater amount of procedural unconscionability. Such factors as the length of the contract, the amount of time the employee is given to read and sign it, the economic pressure of the situation, and the lack of education and sophistication of the employee can be considered. ( *Id.* at 126-127.)

The arbitration agreement itself is simple, short and concise consisting of four paragraphs written in plain language.

The court finds some procedural unconscionability inherent in the circumstances in this case, where the employer presented the employee with a preprinted arbitration

agreement and the employee if not expressly told she had to sign (disputed) at least could have reasonably assumed despite any assurances to the contrary that her failure to sign could affect her employment.

Still, there must also be a significant amount of substantive unconscionability present to support a finding that the arbitration agreement should not be enforced due to unconscionability.

The court has reviewed and carefully considered the arguments raised by Plaintiff that the arbitration agreement is substantively unconscionable. These arguments include:

- (1) no requirement that the arbitrator provide a written award or for judicial review of it;
- (2) no explanation in the arbitration agreement as to how to initiate arbitration;
- (3) an illegal predispute jury waiver;
- (4) the scope of claims subject to arbitration is overbroad;
- (5) the duration of the arbitration agreement is overbroad;
- (6) the arbitration agreement compels arbitration even of non-arbitrable claims, such as sexual harassment; and
- (7) lack of mutuality.

Plaintiff's opposition argued that an arbitration agreement had to expressly include a requirement that the arbitrator issue a written award, and that the award be subject to judicial review. However, the cases it cited either fail to support this assertion, or involved an agreement expressly precluding any judicial review whatsoever, even for arbitrator bias or corruption. Although the subject arbitration agreement requires "final and binding" arbitration, it does not expressly preclude challenging the award in court for bias or corruption. In fact, under both federal and state law, binding arbitration awards are subject to bias and corruption challenges. (9 U.S.C. §10; C.C.P. §1286.2.)

The arbitration agreement expressly requires arbitration per the AAA rules in effect at the time the claim to arbitrate is filed with AAA, and provides a phone number to call to obtain the rules from AAA. The failure to recite or attach a copy of the arbitration rules in an arbitration agreement is generally a matter relevant to procedural, not substantive unconscionability, and even as to procedural unconscionability is considered "of minor significance." (*Lane, supra*, 224 Cal.App.4<sup>th</sup> at 691.)

Furthermore, "the absence of express provisions requiring a written arbitration award and allowing discovery does not render the arbitration agreement unconscionable. Rather, those terms are implied as a matter of law as part of the agreement." (*Sanchez v. Western Pizza Enterprises, Inc.* (2009) 172 Cal.App.4<sup>th</sup> 154, 177.)

The same accessibility to information about the applicable arbitration rules applies to Plaintiff's argument about how to initiate arbitration.

Plaintiff's opposition also argued that a predispute jury waiver was illegal, and thus substantively unconscionable. But the only case it cited involved a jury trial waiver without an arbitration agreement, to require any disputes to be resolved by bench trial, not jury trial. (*Grafton Partners v. Superior Court* (2005) 36 Cal.4<sup>th</sup> 944, 955 [arbitration agreements distinguishable from waivers of right to jury trial and are contractual agreements to not refer disputes to court of law]; see also *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 713-714 [jury trial waiver implicit aspect of agreement to arbitrate].)

As to Plaintiff's "overbroad scope" argument, the sole case relied upon by Plaintiff involved a broader arbitration provision, not limited to claims arising out of employment, of unlimited duration and surviving separation from employment. (*Cook v. University of Southern California* (2024) 102 Cal.App.5<sup>th</sup> 312, 319.) The underlying arbitration agreement does not contain such overbreadth and is limited to claims arising from employment.

Plaintiff's opposition also argued that the 2022 federal Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act ("EFAA") precludes from arbitrability such claims, and that any arbitration agreement that fails to expressly contain this exception is substantively unconscionable. But Plaintiff raised no such claims in this action.

Plaintiff's opposition argues lack of mutuality of remedy. In the employment contract context, an agreement compelling only the employee to arbitration and not the employer has along with a "lower quantum of procedural unconscionability" been found sufficiently substantively unconscionable to justify a court's refusal to enforce it. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4<sup>th</sup> 1267, 1287.)

However, the subject arbitration agreement requires both employee and employer to arbitrate any claims they have against the other arising out of the employee's employment, subjecting to arbitration any claim arising "out of any aspect of the employment relationship, including, but not limited to, the hiring, performance or termination of employment and/or cessation of employment with the Employer and/or against any employee, officer, alleged agent, director, affiliate, subsidiary or sister company relationship, or relating to an application or candidacy for employment". Any claims the moving party might have against an employee would presumably fall within the "but not limited to" language.

Courts faced with an employer's civil complaint against its employee, for something such as a trade secrets violation, and an employee's motion to compel arbitration, would no doubt choose to enforce the arbitration provision against the employer and require arbitration of the claim (with the statutory exception of expressly authorized preliminary injunctive relief.). Still, the court finds some reason for concern that some employees might not understand the arbitration agreement as drafted to include their right to compel arbitration of such claims brought against them by the moving party.

The arbitration agreement's express protection of not only the moving party, but also of "any employee, officer, alleged agent, director, affiliate, subsidiary or sister company relationship" is also of some concern but is limited to claims arising from the employment relationship. The primary case relied upon by Plaintiff on this issue involved a far broader protection of a university "or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise." The court noted that the arbitration provision would require her to arbitrate claims against a university employee that are unrelated to the university or the plaintiff's employment there. (*Cook, supra*, 102 Cal.App.5<sup>th</sup> at 327. )

The court finds some low amount of substantive unconscionability, but not enough together with the limited procedural unconscionability to cause it to find the arbitration agreement sufficiently unconscionable to be unenforceable.

### **Joinder, Stay and Dismissal**

The motion to compel arbitration, and joinder, of Plaintiff's individual claims against any and all of the named defendants is GRANTED. The claims compelled to arbitration include any PAGA claims individual to the named Plaintiff, whether expressly asserted or implied. (*Leeper v. Shipt, Inc.* (2024) 107 Cal.App.5<sup>th</sup> 1001, granted review at 566 P.3d 234 (but confirmed by the California Supreme Court as remaining citeable as persuasive authority during the pendency of this review).

No waiver of class action is contained in the arbitration agreement nor is arbitration limited to an individual claim or is there a restriction on consolidating or aggregating multiple claims in arbitration. However, as Plaintiff's individual claims are compelled to arbitration she is no longer a suitable representative for the proposed class. Class counsel does not identify a substitute representative. Accordingly, the court exercises its discretion to dismiss the class claims.

Pending the completion of the arbitration of all of Plaintiff's individual claims, the court stays all representative PAGA claims alleged in this action.

**All future calendared dates are vacated. The matter is calendared for arbitration review on July 15, 2027 at 8:30.**

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**LEITZKE vs. CITY OF VALLEJO, et al.**  
**Case No. CU23-02170**

Motion for Sanctions

### TENTATIVE RULING

Parties to appear.

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